

be tax deductible. If you don't qualify for the tax deduction, then a Roth IRA is probably the best choice. However, if the Roth IRA is not an option because your AGI is too high, you should still consider making a contribution to a nondeductible traditional IRA. When distributions from this IRA commence, a portion of each distribution will be deemed a nontaxable return of your nondeductible contribution.

Diversify

Just as you diversify your investments, you should diversify your tax strategies. It's a good idea to have some money in each type of account. Since you never know what's going to happen with tax laws in the future, you should avoid having all of your eggs in one "tax basket."

As you decide how much to save in each type of account, consider your income, your prospects for the future, and your thoughts on future legislation. If you are relatively young and just starting your career, chances are that you are not earning much money (and therefore paying taxes at a relatively low rate). In that case, getting a deduction may not be worth much to you—and you might prefer the potential to take your money out tax-free in retirement. In addition, the ability to take back your contributions at any time may serve as a safety valve. You don't need to worry about taxes and penalties if you need to get that money back.

As you move up the income scale, a deductible contribution to your IRA or 401(k) can save you a bundle. Some people prefer to get something of value today instead of hoping for something of value later. They'd rather take a deduction because they are certain they can get it. They are not as certain about future tax law changes. In a worst-case scenario, Congress could decide that Roth was a bad idea—and charge everybody income tax on distributions anyway!